required by a federal agency to provide full disclosure to the shareholders of the funds they manage.

One major area in which shareholders should make their opinions known is the quality of the communications they receive from their fund.

While it is more difficult to articulate, shareholders have the right not only to hold the fund to comparative standards that are consistently applied from year to year but also to a candid evaluation of these returns by the fund's chief executive officer. (In the typical case, the fund's CEO—responsible for *appraising* the results—is also the CEO of the investment adviser—responsible for *generating* the results. As a result, reporting to shareholders with candor is no mean challenge.) The active investor should demand fund reports that begin with something like, "last year, your fund's performance was inferior both absolutely and relative to fair competitive standards," rather than, for example, "the year's most important event was the expansion of IRA eligibility," or "your fund's assets increased by $100 million during the past year."

But the issue does not end with fair presentation of the facts and figures of the mutual fund's performance results and at least some perspective on what they mean. Overall, what is involved is a spirit of candor, in which a fund's failures receive at least as much attention as its successes, and its problems as much emphasis as its opportunities. If even 50 active investors would place this demand for candor before the fund's chairman (copies to the fund's independent directors), I believe many funds would respond affirmatively, for two reasons. First, the fund's management may not have previously considered the issue all that important and may now realize that investors care. Second, the fund's management will ultimately act with an enlightened sense of the fund's (and the adviser's) long-run self-interest.